

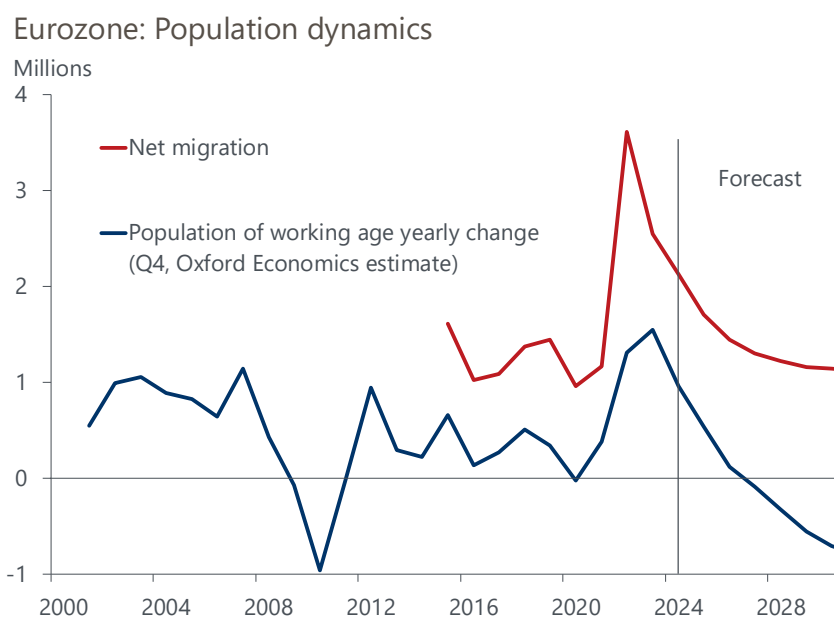
Research Briefing | Eurozone

Solid immigration will not prevent demographic decline

- Eurozone net migration will be solid over the next few years, but this will not be sufficient to offset the impact of population ageing on the labour force. With migrants being mostly low-skilled, the contribution to European productivity and innovation will be limited.
- With the influx of Ukrainian refugees abating, it would take several hundred thousand more migrants than we project to prevent a persistent fall in the Eurozone's working-age population. Our baseline forecast is for net migration to alleviate some, but not all, of the demographic decline.
- Net migration will be supportive thanks to the attractiveness of the Eurozone for low-skilled migrants, but this limits the upside for productivity growth. The large immigration flows of recent years have not prevented labour shortages across various countries and sectors.
- Germany and Spain have received the largest inflows recently. Migration to Germany will be subdued by recent standards, although growth picking up should improve the country's attractiveness. The previous buoyancy reflected huge movements of Ukrainians, so the German outlook will suffer also due to less demographic support than in past years. Spain should continue to lure in robust migration inflows from Latin America.

Net migration has been countering the population ageing in the Eurozone over the past several years, but the tide is changing. Even with past migration, the foreigners' share of the population is small and we expect the working-age population to start shrinking next year. Maintaining a flat working-age population would require several hundred thousand additional net migrants each year (**Chart 1**), which seems politically challenging. The downbeat demographic outlook has broad implications, from the availability of skilled labour to fiscal policy challenges. It is a key factor underpinning our weak medium-term growth forecasts for the region.

Chart 1: Immigration is not enough to prevent the demographic decline



Sources: Oxford Economics, Haver Analytics

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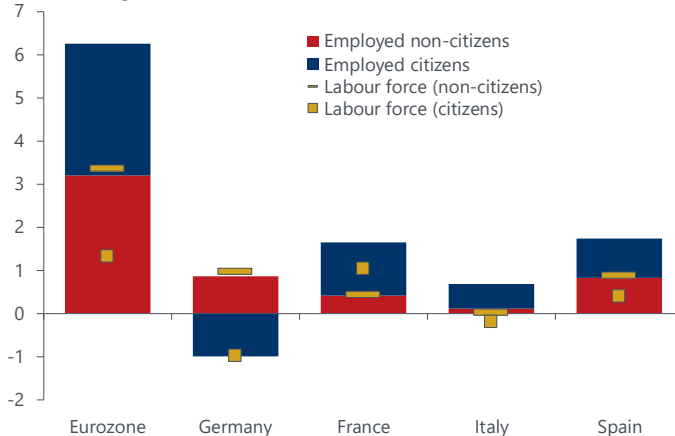
Migration has been key in sustaining employment growth

The influx of migrants has boosted the labour force and supported net job growth. This has eased structural constraints from a labour market close to the natural rate of unemployment and a [scarcity of suitable candidates](#), an issue exacerbated by [low working hours per person](#). Excluding non-citizens, job growth compared to before the pandemic would have been much weaker, and even negative in Germany (**Chart 2**).

Chart 2: Without migrants, employment growth would have been much weaker

Eurozone: Migration and the labour force

Millions, change from 2019 to 2024



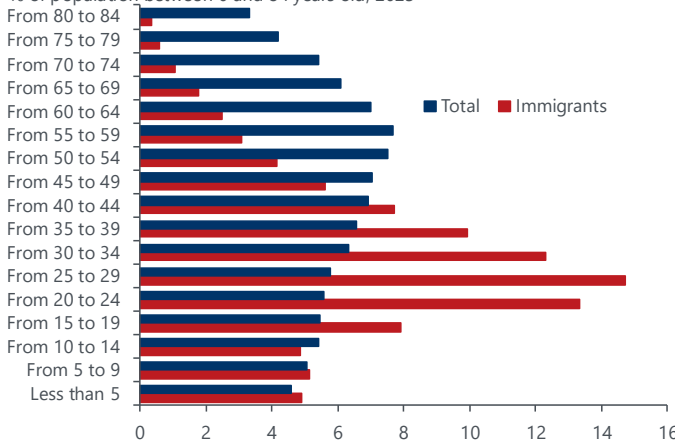
Sources: Oxford Economics, Eurostat

Another favourable factor is the younger age structure of the immigrant population compared to the native population (**Chart 3**). Younger cohorts tend to display higher labour force participation rates. This has alleviated the impact of an [ageing European population](#), at least partially and temporarily.

Chart 3: Migrants are much younger than the overall population

Eurozone: Age structure of the population

% of population between 0 and 84 years old, 2023



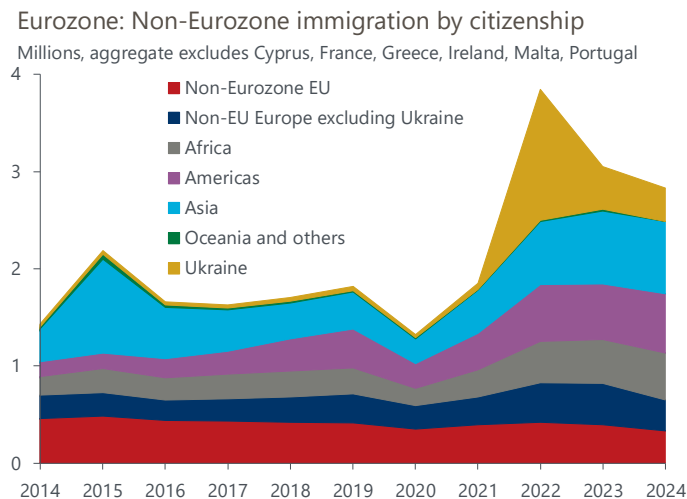
Sources: Oxford Economics, Haver Analytics

The migration tailwind will be less forceful

Massive inflows from Ukraine amplified the 2022 post-pandemic rebound and associated peak in immigration but halved the following year (**Chart 4**, see **Appendix 1** for details on data collection).

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Chart 4: Ukrainians pushed up the 2022 peak, but the strength was broad-based

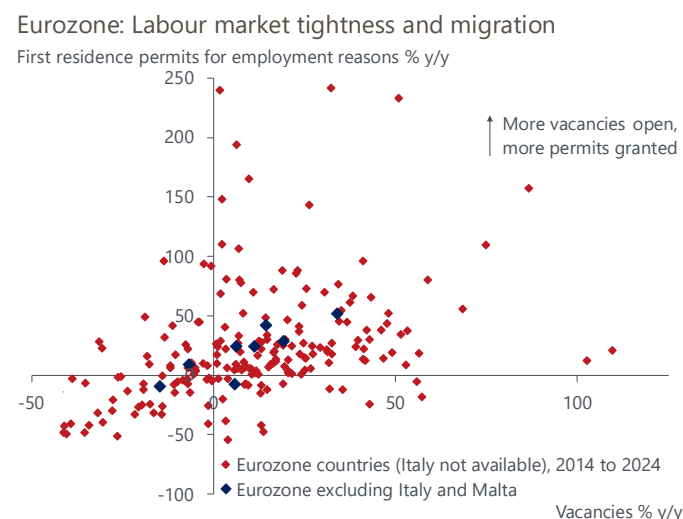


Sources: Oxford Economics, Haver Analytics

Although full data are not available yet, timelier indicators suggest that the number of Ukrainian migrants fell significantly afterward. The growth in temporary protection beneficiaries – a [scheme to facilitate welcoming refugees in emergencies](#) and so far only used for Ukrainians – has subsided. Monthly immigration numbers have dropped in Germany, where Ukrainians fled en masse. Our baseline assumes no significant inflow of Ukrainians in the future.

However, numbers are still likely to remain high – even excluding a possible wave of refugees, for instance related to the war in the Middle East. Even excluding Ukrainians, the number of immigrants was at a historical high in 2023. Given that the migration strength was broad-based across regions and not based on a few country-specific situations that can quickly change, a sudden interruption seems unlikely. Demographic headwinds and improving growth should also keep the labour market fairly tight, incentivising migration to Europe (**Chart 5**).

Chart 5: When vacancies abound, migrants come to the rescue



Sources: Oxford Economics, Eurostat, Haver Analytics

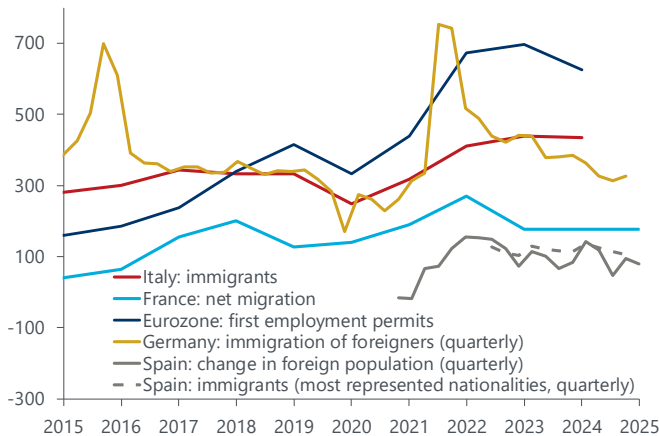
The recent data support the idea that migrant numbers have dropped but remained at high levels about in line with pre-pandemic levels (**Chart 6**).

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Chart 6: Migration has likely fallen from its peak, but it remained elevated

Eurozone: Timely migration metrics

Thousands, German data seasonally adjusted by Haver Analytics



Sources: Oxford Economics, Eurostat, Instituto Nacional de Estadística, Haver Analytics

Changes in US immigration policy may at the margin lead to some limited diversion of flows towards Europe, but the lack of granular, high-frequency migration data in the EU prevents us from tracking it. Meanwhile, the different migration policies adopted by the various Eurozone countries are unlikely to change considerably in the near term. On the one hand, we do not expect upcoming elections, which are still some time away, to result in substantial policy swings. On the other hand, scepticism towards migration has grown, so we do not envisage any major initiative to facilitate migration. Future reforms can have an impact, but it is likely to be limited. For instance, the EU Blue Card framework led to more inflows of skilled workers, but the share of migrants under the scheme is still quite low; the [EU-India free-trade agreement](#) included provisions to reduce hurdles for Indian skilled workers, but visa requirements are competence of the member states. Even unanticipated reforms, whether restricting or fostering migration, would only have a delayed impact.

Immigration helps but is no panacea

For as much as migrants propped up employment, there is no clear indication they have substantially eased labour shortages.

[We flagged](#) *craft and related trades* as probably the occupation in most need. For that occupation, foreigners do not represent a large share and the evolution through time does not show a clear direction of travel. Migrants are instead clustered at the unskilled end of the distribution ([Chart 7](#)).

Chart 7: Migrants tend to be low-skilled

Eurozone: Foreigners by occupation

% of total occupation employment, 2024



Sources: Oxford Economics, Eurostat

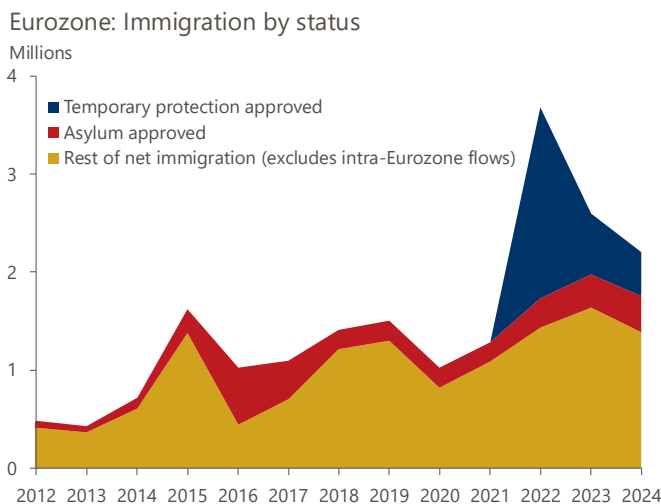
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This suggests that the Eurozone will remain an attractive destination for low-skilled migrants from poorer countries, who likely respond to a positive income differential, a stable political environment, and high-quality public services. This is another reason we think that migration inflows will remain sustained, at least in the short run.

But Europe is much less successful in attracting high-skilled workers. The [share of migrants who are highly educated](#) is much higher in the US, Canada, New Zealand, and in non-Eurozone Scandinavia. Not only does this reflect a lower share of workers with tertiary education amongst the native population, but also the difference in the share of highly educated being less favourable in Eurozone countries. Italy and Spain stand out because the share of workers with a tertiary degree is lower for the foreign born than amongst the native born, whereas the opposite is the norm in OECD countries. Enticing more skilled workers and their human capital would lift the bloc's innovation capabilities and productivity prospects, something which the European Union has identified as a main priority, highlighted by the [Draghi report](#). Here, too, there is potential for the recent changes in US policy to render Europe a more desirable destination, at a time when Eurozone growth gathers pace, and hiring gradually picks up. However, we think that the impact of these changes will be limited, as salary differentials and better opportunities should skew the decision in favour of the US for high-flying, footloose migrants.

Moreover, not all migrants are labour migrants. Some of them are asylum seekers, which means that the delay with which they start working is longer, due to labour migrants already holding a job offer, legal constraints, and their lower likelihood of being a good match with employers' needs. Plus, not all of them will work at all. However, this only has a limited impact on the wider picture ([Chart 8](#)). A similar story applies to student migrants, who will only become part of the labour market with a lag, and not all of them will stay in Europe.

Chart 8: Most migrants are not asylum seekers



Sources: Oxford Economics, Eurostat, Haver Analytics

So, immigration will be supportive of Europe's economy, but less than one would expect looking at headcounts. Even the presence of those least prone to being integrated into the labour market is helpful since it assuages the region's grim demographic outlook.

Migration is two-speed as well

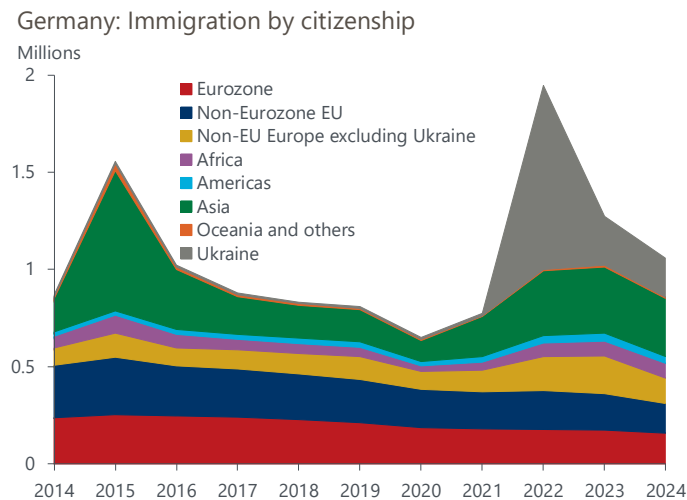
The dynamics differ substantially within the Eurozone. Germany has seen a sudden drop in migrants following the 2022 spike, whereas flows to the other major countries were more stable.

Germany has seen declining immigrant numbers through 2024 and 2025, and we think inflows will remain subdued in the near term. On top of a limited post-pandemic rebound, the extraordinary immigration in 2022 and 2023 reflects massive movements of Ukrainians ([Chart 9](#)), which we assume fall close to zero. Moreover, we assume that some of the large number of Ukrainians will gradually return to their country over the coming years. The shorter the war lasts, the higher the share of Ukrainians that will leave. Excluding

Solid immigration will not prevent demographic decline

Ukrainians, immigration has tended to hover around a million per year, but a sluggish economy has reduced Germany's attractiveness in recent years. Some of those who would have moved there will have ended up in other European countries. So, the German outlook will suffer also because of less demographic support than in past years, although the expected fiscally-fuelled pick-up in growth should favour migration inflows.

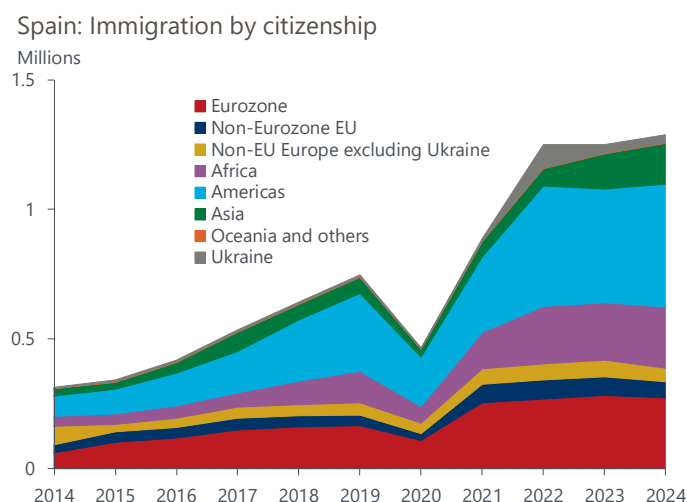
Chart 9: The war prompted extraordinary Ukrainian migration



Sources: Oxford Economics, Haver Analytics

At the other end of the spectrum is Spain, which barely saw an influx of Ukrainians. After the pandemic, non-Ukrainian migrants were at similar levels as in Germany, despite this country having an overall population nearly twice the size of Spain. Most of them came from Latin America (**Chart 10**), which should not be surprising, given the well-established facts in the literature that migrants tend to move to countries with shared [culture](#) and [language](#) and where a [network of compatriots](#) is already present, for instance because it makes it easier to [find a job](#). Plus, Latin Americans face much [shorter residency requirements](#) to obtain Spanish citizenship, significantly reducing uncertainty. These tailwinds will not change any time soon, so migration will [keep fuelling](#) the Spanish labour market and growth.

Chart 10: Spain attracts considerable migrant flows from Latin America



Sources: Oxford Economics, Haver Analytics

Appendix 1: Data handling

The Eurozone aggregate excludes Bulgaria in line with the latest Eurostat population projections.

We estimate the missing datapoints for overall immigration and emigration as:

Table 1: Overall immigration and emigration

Datapoints missing	Strategy
France (up to 2005), Malta (up to 2005 for emigration, up to 2004 for immigration), Spain and Cyprus (2000-2001 for emigration), Portugal (2024), Belgium (2008-2009)	Grown back or forward in line with available countries
Croatia (2000, 2005)	Taken average of previous and following year

Source: Oxford Economics

For the age distribution, we use data for immigrant population by completed years. For the countries missing, we use immigrant population by age reached during the year. This is the case for Cyprus, Estonia, France, Germany, Latvia, Malta, Netherlands, Portugal, and Slovakia.

The backcasting for 2025 migration uses data from national sources, which are available for Estonia, Finland, France, Lithuania, the Netherlands, Slovenia, and Spain. Germany and Italy only miss one month, so migration from January to November works as a good proxy for how it evolved in 2025 overall compared to the previous year. For the other countries, we use our own projections.

Migration by citizenship statistics are not available for the Eurozone as a whole. We therefore aggregate country-level data, which are available for all but Cyprus, France, Greece, Ireland, Malta, and Portugal. This means that the country breakdown that we use accounts for 80% of migration in the Eurozone in 2023.

We estimate the missing datapoints as:

Table 2: Immigration by citizenship

Datapoints missing	Strategy
Latvia (2015), Lithuania (2022-2023, single datapoints): one year missing	Take the average share in total immigration of previous and following year, then multiply it by total migration
Estonia (2020-2021), Lithuania (2022-2023, single datapoints): two years missing	For the first year, take the share of the previous year, for the second year, take the share of the next year, then multiply it by total migration
Belgium (2020-2022), Latvia, Netherlands (Others 2020-2022): three years missing	For the first year, take the share of the previous year; for the third year, take the share of the next year; for the second year, take the average share, then multiply it by total migration
Lithuania missing non-European migration for 2022-2023	Spread non-European total immigration according to average historical shares
Germany missing Africa, Asia, Oceania aggregations	Sum of countries in the breakdown and then use the ratio with the 2023 data point
Spain missing data from Oceania (2015-2020)	Take average share of total immigration in 2014 and 2021 and multiply it by total immigration
Spain missing data from some countries.	Used population by citizenship data, calculated the change and added the number of emigrated with the same citizenship. Not all countries available for outside Europe, but very representative: more than 95% of each continent. For 2023 and 2024, non-European

Solid immigration will not prevent demographic decline

Datapoints missing	Strategy
	countries spread with non-European total immigration according to average historical shares. The assumption is corroborated by the fact that Latin American countries dominate the list of the most represented nationalities of immigrants to Spain from 2023 to 2025.
Lithuania missing non-European migration for 2022-2023	Spread non-European total immigration according to average historical shares

Source: Oxford Economics